



United States
Attorney's Office
Eastern District of Tennessee



Two Jonesborough Women And A Bristol, Virginia Man Sentenced For VA Bribery Scheme

Wednesday, July 23, 2025

For Immediate Release

U.S. Attorney's Office, Eastern District of Tennessee

GREENEVILLE, Tenn. – On July 23, 2025, the Honorable Clifton L. Corker, United States District Judge in the United States District Court for the Eastern District of Tennessee at Greeneville sentenced Monika D. Schorer, 59, of Jonesborough, TN, and Teresa D. Schorer, 59, of Jonesborough, TN, each to a term of imprisonment of eight months and a \$10,000 fine. Following their terms of imprisonment, each will be required to serve a term of supervised release of three years.

As part of the plea agreement filed with the court, each defendant pled guilty to conspiracy to commit honest services wire fraud in violation of 18 U.S.C. §§ 1343, 1346, and 1349.

According to Court records, the defendants (who are twin sisters) were employees of the VA Medical Center in Mountain Home, Tennessee. Each took cash bribes from surgical sales representatives, Eric S. Smith ("Smith") and Landon Chester ("Chester") that enabled Smith and Chester to overbill the VA Medical Center, often for unnecessary medical items. Smith and Chester previously pled guilty to conspiracy to commit honest services mail fraud and bribery in violation of 18 U.S.C. § 371.

According to Court records, the bribes took the form of cash-stuffed envelopes and a promised ownership interest upon retirement in a Virginia limited liability company, Four Corners Medical Supply and Equipment LLC ("Four Corners"). Four Corners had become a VA vendor with the cooperation of Teresa Schorer. In exchange for the bribes, the Schorers consciously permitted a substantial fraud against the VA; used a VA computer to set up Four Corners in the government's payment system; hid and concealed their arrangement by making false disclosures on their Office of Government Ethics Forms 450; alerted Smith and Chester when their VA supervisor began asking questions; and provided other assistance to Smith and Chester not generally available to VA vendors. Monika Schorer also issued a letter purportedly from the VA Medical Center to try to thwart the investigation.

As part of their sentence, the Court also ordered each defendant to make individual restitution to the VA in the amount of \$213,154.50.

The sentences follow Smith's sentencing on July 16, 2023. Judge Corker sentenced Smith to serve a year and a day in the Bureau of Prisons to be followed by a three-year term of supervised release. Smith paid court-ordered restitution in the amount of \$120,433.45 prior to sentencing. In addition to restitution, Smith and Chester also agreed to forfeit the sum of \$185,422.10 that was seized by the United States as part of the investigation.

Chester will be the final participant to be sentenced, and his sentencing hearing is set for August 5, 2025, at 10:00 a.m.

Between agreed restitution in all participants' plea agreements and forfeited bank accounts, the United States will recover \$852,598.

"Our nation has a solemn obligation to care for our veterans," said U.S. Attorney Francis M. Hamilton III. "This prosecution shows that our office and our federal partners will hold those accountable who steal taxpayer money that has been allocated to fulfill this sacred duty. Taking bribes by any government employee is a serious offense, and this case serves as a warning to any government employee who thinks they can profit from their position of public trust and any private person who thinks they can use bribes to steal from taxpayers."

"Using official government positions to profit from bribes is an egregious crime and erodes public trust," said Special Agent in Charge Nate Landkammer with the Department of Veterans Affairs Office of Inspector General's Mid-Atlantic Field Office. "These sentencings send a clear message that the VA OIG will diligently investigate those who misuse their positions to commit fraud and divert resources from deserving veterans."

"The Schorers were entrusted to serve the interests of veterans and the American people, not their own," said Special Agent in Charge Elisa Pellegrini of the General Services Administration (GSA) Office of the Inspector General, Office of Investigations, Mid-Atlantic Division. "We will remain relentless in the pursuit of those who seek to exploit GSA purchase cards and other government programs for personal gain."

"Monika and Teresa Schorer took bribes and participated in a fraud that resulted in overcharges to the VA," said Special Agent-In-Charge Donald "Trey" Eakins, IRS-CI Charlotte Field Office. "This is not a victimless crime. When suppliers overcharge the VA for their products and services, the men and women who bravely served this country are affected because less money is available for their healthcare, benefits, and support programs. IRS Criminal Investigation special agents, many who are veterans, will continue diligently investigating and holding accountable those who believe defrauding the Veterans Administration is the way to satisfy their financial greed."

The charges were the result of a long-term investigation by the Department of Veterans Affairs, Office of the Inspector General, the General Services Administration, Office of the Inspector General, and the Internal Revenue Service, Criminal Investigations.

Assistant U.S. Attorney Mac D. Heavener, III of the Eastern District of Tennessee prosecuted the case.

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